

Loan Estimate

Thursday, May 21, 2026 1:33 AM

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<scratchpad> Let me analyze the Loan Estimate document structure and plan my approach:

Major Sections to Cover:

1. Page 1: Loan Terms, Projected Payments, Costs at Closing
2. Page 2: Closing Cost Details (Sections A-H)
3. Page 3: Additional Information, Comparisons, Other Considerations

Key Regulations:

- TRID (TILA-RESPA Integrated Disclosure) - overall framework
- TILA (Truth in Lending Act) - APR, finance charges
- RESPA (Real Estate Settlement Procedures Act) - settlement costs
- Regulation Z (12 CFR 1026) - implementation of TILA
- Dodd-Frank Act - consumer protection mandate

Layering Strategy:

- Start each section with clear "WHAT" (101)
- Build to "WHY" with regulatory context (201)
- Finish with "HOW" and best practices (301)
- Use real-world examples throughout
- Include pro tips and red flags

Flow:

1. Introduction to the LE and its purpose
2. Header information (loan details, property, parties)
3. Page 1 deep dive
4. Page 2 cost breakdown
5. Page 3 comparisons and disclosures
6. How to compare multiple LEs
7. Common mistakes and red flags </scratchpad>

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How to Read a Loan Estimate: Complete Professional Guide

Introduction: Understanding the Loan Estimate in the Mortgage Ecosystem

WHAT is a Loan Estimate? (101)

The Loan Estimate (LE) is a standardized, three-page document that every mortgage lender must provide to borrowers within three business days of receiving a loan application. Think of it as your mortgage "nutrition label" - it breaks down exactly what you're getting, what it costs, and what could change before closing.

Real-World Context: Before 2015, borrowers received two separate forms (the Good Faith Estimate and initial Truth in Lending disclosure) that were confusing and used different formats. Comparing offers from different lenders was like comparing apples to oranges. The Loan Estimate solved this problem.

WHY does it exist? (201)

The Loan Estimate is mandated by the **TILA-RESPA Integrated Disclosure (TRID)** rule, which became effective October 3, 2015. This rule is codified in **Regulation Z (12 CFR §1026.37)** and was created by the Consumer Financial Protection Bureau (CFPB) under the Dodd-Frank Act.

Regulatory Purpose:

- **Consumer Protection:** Prevents predatory lending by requiring transparent disclosure
- **Comparability:** Standardized format allows borrowers to shop and compare lenders
- **Timing Protection:** Must be provided early enough for borrowers to make informed decisions
- **Change Documentation:** Establishes baseline for what can change and by how much

Key Regulatory Timeline:

- Application received → 3 business days → LE must be delivered
- LE received → 7 business days → Borrower must wait before closing (cooling-off period)
- This gives borrowers at least 7 days to review before being legally bound

HOW should you approach reading an LE? (301)

Professional Best Practices:

1. **Read it immediately** - Don't wait until closing to discover problems
2. **Compare side-by-side** - Get LEs from at least 3 lenders within the same 2-3 day period
3. **Focus on Total Cost** - Don't just look at the interest rate
4. **Identify what can change** - Some numbers are locked, others aren't
5. **Ask questions in writing** - Create a paper trail for all clarifications

Pro Tip: The most expensive loan isn't always the worst deal, and the lowest rate isn't always the best. You need to analyze the complete picture, including

how long you plan to keep the loan.

Section 1: The Header - Foundational Loan Information

Page 1 Header Elements

The top of Page 1 contains critical identifying information that sets the foundation for everything else in the document.

Date Issued (101)

WHAT: The date the lender generated and provided this specific Loan Estimate.

WHY (201): Under **12 CFR §1026.37(a)(3)**, the date issued is crucial because it:

- Starts the 10-business-day intent-to-proceed clock
- Determines which fees can be locked at application
- Establishes when rate lock periods begin (if applicable)
- Creates the baseline for measuring changed circumstances

HOW (301):

Red Flag: If you applied on Monday and the LE is dated the following Monday (7+ calendar days later), the lender may have violated the 3-business-day delivery requirement. Business days for LE delivery are all calendar days except Sundays and federal holidays.

Best Practice: Note the date immediately and count forward:

- Date issued + 10 business days = deadline for you to indicate intent to proceed
- Date issued + 7 business days = earliest you can close (in most cases)

Example:

- Application: Monday, January 8
- LE must be delivered by: Thursday, January 11 (3 business days)
- Earliest closing date: Thursday, January 18 (7 business days after receipt)
- Intent to proceed deadline: Generally Monday, January 22 (10 business days)

Applicants and Property Address (101)

WHAT: Lists all borrowers applying for the loan and the property being purchased or refinanced.

WHY (201): Required under **12 CFR §1026.37(a)(6) and (7)**.

- Legal identification of parties to the transaction
- Ensures the correct borrowers are disclosed on credit reports
- Property address is tied to appraisal and title work
- Creates legal chain of accountability

HOW (301):

Critical Checks:

1. **Spelling matters** - Names must match government IDs exactly. "Bob Smith" vs. "Robert Smith" can cause title issues.
2. **All borrowers listed** - If you're applying jointly, both names must appear
3. **Property address accuracy** - Wrong address = wrong appraisal, wrong title search, wrong insurance

Real-World Example: A borrower's LE showed "123 Main St." but the actual property was "123 Main St., Unit B." At closing, the title company had searched the wrong property, causing a 3-week delay and expiration of the rate lock.

Pro Tip: If you're buying a new construction and there's no assigned address yet (listed as "Lot 47, Subdivision Name"), make sure you get an updated LE when the official address is assigned.

Sale Price and Loan Amount (101)

WHAT:

- **Sale Price** (for purchases): The agreed-upon price you're paying for the property
- **Loan Amount:** The actual amount you're borrowing from the lender

WHY (201): These figures drive virtually every calculation in the LE.

Under **12 CFR §1026.37(a)(7) and (b)(1)**:

- Loan amount determines interest charges and payment calculations
- Sale price is used to calculate loan-to-value (LTV) ratio, which affects:
 - PMI requirements (typically required if LTV > 80%)
 - Interest rate pricing (higher LTV = higher risk = higher rate)
 - Loan program eligibility

Formula to understand:

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$$\text{Loan-to-Value (LTV)} = (\text{Loan Amount} \div \text{Sale Price}) \times 100$$

HOW (301):

What to Verify:

1. For Purchases:

- Sale price matches your purchase contract exactly
- Loan amount reflects your intended down payment
- Calculate: $\text{Sale Price} - \text{Loan Amount} = \text{Your Down Payment (plus closing costs)}$

2. For Refinances:

- Loan amount should be your current balance plus costs being rolled in (if applicable)
- Verify whether you're doing a cash-out refinance (borrowing more than you owe) or rate-and-term refinance

Example Scenario:

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Sale Price: \$400,000

Loan Amount: \$320,000

Down Payment: \$80,000

LTV: 80%

This borrower is at exactly 80% LTV - right at the threshold for avoiding PMI. If the loan amount were even \$1 higher, PMI would be required, adding \$100-200+ to the monthly payment.

Red Flag (Advanced): If your loan amount seems higher than expected, the lender may have included estimated closing costs in the loan amount without clearly explaining this. This is legal if you agreed to it, but you should understand it explicitly.

Pro Tip: For purchases, if you're close to the 80% LTV threshold, consider whether you can bring slightly more cash to closing to avoid PMI. The monthly savings often justify the extra upfront cash.

Section 2: Loan Terms - Understanding Your Commitment

This section (top of Page 1) contains the core financial terms of your mortgage. These are arguably the most important numbers in the entire document.

Loan Term (101)

WHAT: The length of time over which you'll repay the loan, typically expressed in years (most commonly 30 years, but also 15, 20, or other terms).

WHY (201): Required under **12 CFR §1026.37(a)(8)**.

The loan term directly impacts:

- **Monthly payment amount** (shorter term = higher payment)
- **Total interest paid** (longer term = more total interest)
- **Equity building speed** (shorter term = faster equity accumulation)

Regulatory Context: The loan term must be clearly disclosed because it's a material term that affects the borrower's ability to repay - a key concern under the **Ability-to-Repay (ATR)** rule (12 CFR §1026.43).

HOW (301):

Comparison Exercise:

Let's examine a \$300,000 loan at 7% interest:

Loan Term	Monthly Payment (P&I)	Total Interest Paid	Total Paid Over Life
30 years	\$1,996	\$418,527	\$718,527
20 years	\$2,326	\$258,167	\$558,167

15 years \$2,696

\$185,363

\$485,363

Analysis Points:

1. **30-year vs. 15-year:** You save \$233,164 in interest with a 15-year loan, but your payment is \$700/month higher. Is that affordable?
2. **Break-even thinking:** If you take the 30-year loan but make extra payments equal to the 15-year payment, you'll pay off the loan in ~15 years BUT maintain flexibility to pay less during tight months.

Best Practice Questions to Ask:

- "How long do I realistically plan to live in this home?" (If it's only 7 years, you may not benefit from a 15-year term)
- "Can I comfortably afford the higher payment in all scenarios (job loss, medical emergency)?"
- "Do I have other high-interest debt to pay off first?" (Credit cards at 18% are worse than a 7% mortgage)

Pro Tip: Many sophisticated borrowers choose 30-year terms for flexibility but make additional principal payments when possible. This provides the safety net of a lower required payment while still saving interest.

Interest Rate (101)

WHAT: The percentage rate charged on your loan balance, shown as an annual percentage. This is your "pure" rate before fees are factored in (that's what APR does).

Critical Understanding: This is NOT the same as APR (Annual Percentage Rate), which we'll cover shortly. The interest rate is what determines your actual monthly payment.

WHY (201): Required under **12 CFR §1026.37(b)(2)**.

The interest rate disclosure must indicate whether it:

- **Can increase** after closing (adjustable-rate mortgage)
- **Cannot increase** (fixed-rate mortgage)

This is a fundamental consumer protection because adjustable-rate mortgages (ARMs) were a major contributor to the 2008 financial crisis. Borrowers need to know if their payment could increase dramatically.

Regulatory Framework:

For **Fixed-Rate Mortgages:** The rate stays the same for the entire loan term. Simple and predictable.

For **Adjustable-Rate Mortgages (ARMs):** Must comply with **12 CFR § 1026.20(c)** regarding rate adjustment notices:

- Initial fixed period must be clearly disclosed
- Index and margin must be identified
- Rate caps must be explained

- Payment change disclosures required 60-120 days before first adjustment

HOW (301):

Rate Shopping Best Practices:

1. **Timing matters:** Get all your LEs within a 2-3 day window. Rates change daily, and you can't fairly compare a quote from Monday with one from the following Monday.
2. **Points vs. Rate trade-off:** A lower rate often requires paying "points" (prepaid interest). Analyze whether this makes sense:

Example:

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Option A: 7.0% rate, 0 points, \$320,000 loan = \$2,129/month

Option B: 6.75% rate, 1 point (\$3,200), \$320,000 loan = \$2,075/month

Monthly savings: \$54

Break-even: $\$3,200 \div \$54 = 59$ months (5 years)

If you're certain you'll keep the home more than 5 years, Option B saves money. Less than 5 years? Option A is better.

1. **Rate locks:** Understand whether this rate is locked or floating:
 - **Locked:** Rate is guaranteed for a specific period (30, 45, 60 days typical)
 - **Floating:** Rate can change daily until you lock

Pro Tip: If rates are falling, you might benefit from a "float-down" option, which allows one rate reduction during your lock period if rates drop significantly.

This typically costs 0.125% - 0.25% upfront.

Red Flags:

- Rate is significantly lower than market average (0.5%+ below competitors) → Probably has hidden costs
- Rate lock expiration date is before your expected closing → You'll face fees or higher rates if closing delays
- Teaser rates on ARMs that seem too good to be true → Check the adjustment caps and fully-indexed rate

Monthly Principal & Interest (101)

WHAT: The portion of your monthly payment that goes toward paying down the loan balance (principal) and paying interest charges.

Critical Note: This does NOT include property taxes, homeowners insurance, or mortgage insurance. Those appear separately below.

WHY (201): Required under **12 CFR §1026.37(c)(1)(i)**.

This figure is calculated using the standard mortgage amortization formula:

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$$M = P[r(1+r)^n]/[(1+r)^n-1]$$

Where:

M = Monthly payment

P = Principal (loan amount)

r = Monthly interest rate (annual rate ÷ 12)

n = Number of payments (loan term in years × 12)

You don't need to calculate this manually - lenders use automated systems - but understanding that it's a precise mathematical formula is important. This isn't negotiable; given a specific loan amount, rate, and term, the payment is what it is.

Amortization Concept: In the early years, most of your payment goes to interest. Over time, more goes to principal.

Example with \$300,000 loan at 7% for 30 years:

- Payment 1: \$1,996 total → \$246 principal + \$1,750 interest
- Payment 60 (year 5): \$1,996 total → \$296 principal + \$1,700 interest
- Payment 180 (year 15): \$1,996 total → \$485 principal + \$1,511 interest
- Payment 360 (final): \$1,996 total → \$1,985 principal + \$11 interest

HOW (301):

What to analyze:

1. **Affordability Test:** Housing payment (including taxes and insurance) should generally not exceed 28% of gross monthly income. This is the front-end DTI ratio lenders use.

Example:

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Gross monthly income: \$8,000

28% threshold: \$2,240

If your full housing payment exceeds this, you may be "house poor"

1. **Compare total monthly payment across lenders:** The P&I payment is driven purely by loan amount, rate, and term, so different P&I payments between lenders mean:
 - Different interest rates, OR
 - Different loan amounts (one lender might be financing more closing costs), OR
 - Different loan terms
2. **Review the amortization schedule:** Request a full amortization schedule showing how your payment is split between principal and interest each month. This reveals:
 - How slowly principal is paid down initially
 - Whether extra payments would make a significant impact
 - Your exact payoff date

Best Practice: If you're comparing a 30-year loan to a 15-year loan, calculate

the difference in P&I payment and honestly assess whether you can consistently afford the higher payment. Job stability matters here.

Pro Tip: Making one extra payment per year (13 instead of 12) can shave approximately 4 years off a 30-year mortgage and save tens of thousands in interest. This is mathematically equivalent to the "bi-weekly payment" strategy some companies charge fees to set up - you can do it yourself for free.

"Does the loan have these features?" Section (101)

This critical yes/no checkbox section addresses features that can significantly affect your loan's cost and flexibility.

Prepayment Penalty

WHAT (101): A fee charged if you pay off your loan early (either by refinancing or selling the home before a specified period).

WHY (201): Prepayment penalties must be disclosed under **12 CFR § 1026.37(b)(4)**.

Historical Context: Prepayment penalties were often abused before TRID. Lenders would hide them in fine print, then borrowers would get hit with massive fees (sometimes 6 months' interest) when trying to refinance.

Current Regulations:

- **Qualified Mortgages (QMs)** under **12 CFR §1026.43** CANNOT have prepayment penalties
- **Non-QM loans** may have them, but they're limited:
 - Cannot exceed 2% of prepaid balance in year 1
 - Cannot exceed 1% in year 2
 - Must expire by end of year 3
- **FHA, VA, and USDA loans** prohibit prepayment penalties by program rules

HOW (301):

Red Flag Analysis:

If this box is checked "YES," ask these questions immediately:

1. "Why does this loan have a prepayment penalty?" (Only acceptable answer: It's a non-QM loan with compensating factors)
2. "What is the exact penalty amount and duration?"
3. "What loan balance triggers it?" (Some only apply above a certain threshold)
4. "Does it apply to small extra payments or only full payoff?"

Real-World Example:

A borrower took a loan with a 3% prepayment penalty in years 1-3. Two years later, they got a job transfer and had to sell. Loan balance: \$285,000.

Prepayment penalty: \$5,700. This wiped out a significant portion of their

proceeds from the sale.

Best Practice: Unless you're getting a significantly better rate (typically 0.5%+ lower) in exchange for accepting a prepayment penalty, don't accept it. The flexibility is worth more than the rate discount for most borrowers.

Pro Tip: If you must accept a prepayment penalty, understand the specific trigger. Some penalties only apply if you refinance, not if you sell. Others only apply to payoffs above a certain amount, allowing you to make extra payments below that threshold.

Balloon Payment

WHAT (101): A large lump-sum payment due at the end of the loan term. The loan doesn't fully amortize over its term, leaving a substantial balance due all at once.

Example: You have a 7-year balloon mortgage for \$300,000 at 6.5%. You make regular payments based on a 30-year amortization schedule for 7 years. At the end of year 7, you owe approximately \$270,000 in one payment.

WHY (201): Balloon payment disclosure is required under **12 CFR § 1026.37(b)(5)**.

Regulatory Concerns:

- **Ability-to-Repay rule** (12 CFR §1026.43) requires lenders to verify borrowers can afford the balloon payment or refinance
- **Qualified Mortgages** generally cannot have balloon payments (exception: small creditors in rural/underserved areas)
- High-risk feature that contributed to foreclosures when borrowers couldn't refinance at balloon maturity

Historical Context: Balloon mortgages were common before 2008 and contributed to the housing crisis. Borrowers would get affordable payments for several years, then face a huge balloon payment. Many assumed they could refinance, but when the market crashed and home values dropped, they couldn't refinance and couldn't pay the balloon.

HOW (301):

When Balloon Payments Might Make Sense:

1. **Short-term property ownership:** You're absolutely certain you'll sell before balloon maturity
2. **High-value bridge scenario:** You're waiting for a specific windfall (inheritance, business sale) and need interim financing
3. **Investment properties with exit strategy:** Experienced investors who plan to flip or refinance

Critical Questions if You See "YES":

1. "When is the balloon payment due?" (Exact date matters)
2. "What is the estimated balloon amount?" (Should be in Section G of page

2)

3. "What are my options when the balloon comes due?" (Refinance? Seller financing extension?)
4. "What happens if I cannot pay the balloon?" (Foreclosure is the usual answer)

Red Flag: If this is your primary residence and you're not sophisticated in real estate finance, a balloon payment is almost always a bad idea. The risk is too high.

Real-World Disaster Example:

In 2007, a borrower took a 5-year balloon mortgage on a \$400,000 home. Monthly payments were only \$1,200 (based on 30-year amortization), making it seem affordable. In 2012, the \$380,000 balloon came due. The borrower couldn't refinance because:

- The home was now worth \$300,000 (underwater)
- Lending standards had tightened
- The borrower's income had decreased

Result: Foreclosure.

Pro Tip: If you're considering a balloon mortgage, model at least three scenarios:

1. **Best case:** You can refinance at current rates
2. **Realistic case:** You refinance but rates are 2% higher
3. **Worst case:** You cannot refinance and must sell in a down market

If scenario 3 would be financially catastrophic, don't accept a balloon payment.

Section 3: Projected Payments - Understanding Payment Evolution

This section (middle of Page 1) shows how your monthly payment will change over time. It's designed to prevent the "payment shock" surprise that devastated many borrowers with adjustable-rate mortgages during the housing crisis.

Understanding the Payment Timeline (101)

WHAT: The Projected Payments table breaks down your total monthly payment into components and shows how it changes over different periods.

Components shown:

- **Principal & Interest:** Loan payment (for fixed-rate loans, this never changes)
- **Mortgage Insurance:** PMI or MIP (may go away after reaching 78-80% LTV)
- **Estimated Escrow:** Property taxes, homeowners insurance, sometimes

HOA fees

- **Estimated Total Monthly Payment:** Sum of all above

Time periods shown:

- **Years 1-7** or similar initial period
- **Years 8-30** or when changes occur
- Additional columns if there are further changes (for ARMs)

WHY (201): Required under **12 CFR §1026.37(c)**.

Purpose of this disclosure:

1. **Transparency on payment changes:** Borrowers must see if and when their payment will increase
2. **Escrow awareness:** Many borrowers don't realize taxes and insurance are part of their monthly obligation
3. **ARM protection:** For adjustable-rate mortgages, shows maximum possible payment increase
4. **Mortgage insurance duration:** Reveals when MI drops off (if applicable)

Regulatory Evolution: Before TRID, many ARM borrowers had no clear picture of how high their payments could go. The Projected Payments table now must show the maximum payment under worst-case rate adjustment scenarios for ARMs.

HOW to Analyze the Projected Payments Table (301)

Fixed-Rate Mortgage Example:

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Years 1-7	Years 8-30	
Principal & Interest:	\$1,996	\$1,996
Mortgage Insurance:	\$ 142	\$ 0
Estimated Escrow:	\$ 450	\$ 470
Estimated Total:	\$2,588	\$2,466

What This Tells You:

1. **P&I doesn't change:** Fixed-rate confirmed
2. **MI drops off after year 7:** Loan balance will reach 78% LTV around month 84
3. **Escrow increases slightly:** Taxes/insurance expected to increase (about 4-5% total, or roughly 0.6% per year)
4. **Payment decreases overall:** Drops by \$122/month when MI falls off

Key Calculations to Perform:

1. When exactly does MI drop off?

For conventional loans, MI automatically terminates at 78% LTV based on the original amortization schedule. To find when:

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Original loan amount: \$320,000

Original property value: \$400,000

78% of \$400,000 = \$312,000

When does your loan balance reach \$312,000?

Using amortization schedule, this occurs at approximately month 84 (year 7)

Pro Tip: You can request MI removal earlier (at 80% LTV) if you can prove increased property value through appraisal. This is codified in the

Homeowners Protection Act of 1998 for conventional loans.

2. Are the escrow estimates realistic?

Compare the estimated taxes and insurance to:

- Actual property tax bills (public record - search "[County] property tax records")
- Insurance quotes you've received
- Average increases in your area (typically 3-5% annually for taxes)

Red Flag: If estimated escrow seems too low (say, \$300/month in a high-tax state like New Jersey or Illinois), you'll face an escrow shortage and payment increase within the first year.

Real-World Example:

A borrower in Texas was shown estimated escrow of \$400/month. The lender used the seller's current property tax assessment. What they didn't account for: Property taxes are reassessed at purchase price. After closing, the home's assessed value jumped from \$280,000 to \$400,000 (the purchase price). New monthly escrow: \$650. The borrower suddenly had a \$250/month payment increase they hadn't budgeted for.

Best Practice: Always verify:

1. What tax rate the lender is using
2. What assessed value they're using
3. Whether there's a transfer tax reassessment in your area
4. What insurance premium they're estimating

Adjustable-Rate Mortgage (ARM) Analysis:

For ARMs, the table becomes more complex and critically important:

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Years 1-5	Years 6-30	Maximum Payment	
Principal & Interest:	\$1,597	\$2,019	\$2,489
Mortgage Insurance:	\$ 142	\$ 0	\$ 0
Estimated Escrow:	\$ 450	\$ 470	\$ 470
Estimated Total:	\$2,189	\$2,489	\$2,959

What This ARM Example Reveals:

1. **Initial "teaser" rate:** Lower payment in years 1-5 (common ARM structure)
2. **First adjustment:** Payment increases by \$300 in year 6
3. **Maximum possible payment:** Could go as high as \$2,959 (35% higher

than initial payment)

Critical ARM Analysis (301 Advanced):

Questions to Ask:

1. "What is the fully-indexed rate?"

- Formula: Index + Margin = Fully-Indexed Rate
- Example: 5.5% index + 2.25% margin = 7.75% fully-indexed rate
- This is what your rate would be today if it were adjusting (without rate caps)

2. "What are the rate caps?"

- **Initial cap:** Maximum rate increase at first adjustment (typically 2% or 5%)
- **Periodic cap:** Maximum increase at each subsequent adjustment (typically 2%)
- **Lifetime cap:** Maximum rate ever (typically 5-6% above initial rate)

3. "What index does this ARM use?"

- **SOFR** (Secured Overnight Financing Rate): Current standard since LIBOR phase-out
- **CMT** (Constant Maturity Treasury): Common for some ARM products
- **Index history:** How volatile has this index been?

Best Practice ARM Analysis:

Model three scenarios:

Scenario 1: Optimistic (rates fall)

- Index decreases by 1%
- Your rate drops from 5.5% to 4.5%
- Payment decreases

Scenario 2: Realistic (rates stable or moderate increase)

- Index increases by 1-2%
- Your rate increases to 6.5-7.5%
- Payment increases by 15-25%

Scenario 3: Worst case (rates spike)

- Rate hits lifetime cap (e.g., 11% if you started at 5.5% with 5.5% cap)
- Payment shown in "Maximum Payment" column
- Can you afford this in all circumstances?

ARM Red Flags:

- 1. Negative amortization potential:** Some ARMs allow payment to be less than interest due, causing loan balance to grow
- 2. Very low initial rate:** If starting rate is more than 2% below fully-indexed rate, you're getting an artificial teaser
- 3. Short fixed period:** 3/1 ARM means rate adjusts after only 3 years - very

risky for primary residence

4. **High lifetime cap:** If lifetime cap allows rate to triple, payment shock could be devastating

Real-World ARM Disaster:

In 2005, a borrower took a 5/1 ARM on a \$500,000 loan:

- Initial rate: 3.5%
- Initial payment: \$2,245
- Borrower qualified based on this payment

In 2010 (year 5), the rate adjusted to 6.5% (the lifetime cap):

- New payment: \$3,160
- Increase: \$915/month (41% increase)
- Borrower couldn't afford it and couldn't refinance (home was underwater)
- Result: Foreclosure

Pro Tip: The "5/1 ARM vs. 30-year fixed" decision often comes down to this question: "Am I absolutely certain I'll sell or refinance within 5 years?" If there's any doubt, the peace of mind of a fixed rate is usually worth a slightly higher rate.

Escrow Component Deep Dive (301)

What Goes Into Escrow:

1. Property Taxes

- Annual amount $\div$ 12 = monthly escrow portion
- Lender pays tax bills directly to county/municipality
- Regulations require 1/6th cushion (2 months) per **RESPA Section 10** (12 USC §2609)

2. Homeowners Insurance

- Annual premium $\div$ 12 = monthly portion
- Lender is additional insured on policy
- Lender pays insurance company directly

3. Mortgage Insurance (sometimes escrowed, sometimes separate billing)

- Protects lender if you default
- Required until 78% LTV on conventional loans
- FHA: MIP for life of loan if down payment < 10%

4. HOA Fees (rarely escrowed, but sometimes)

- Condo or HOA dues
- Usually paid separately by borrower

Escrow Analysis Requirement:

Under **Regulation X (12 CFR §1024.17)**, lenders must conduct an escrow analysis annually and provide a statement showing:

- Actual payments made for taxes and insurance

- Projected payments for coming year
- Any escrow shortage or surplus
- New monthly escrow payment

Common Escrow Issues:

Problem 1: Escrow Shortage

- Taxes or insurance increased more than expected
- Escrow account doesn't have enough to cover payments
- You'll receive a notice with options:
 - Pay shortage in lump sum
 - Spread shortage over 12 months (increases monthly payment)
 - Combination of both

Example:

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Expected taxes: \$4,800/year (\$400/month escrowed)

Actual taxes: \$5,400/year (\$450/month needed)

Shortage after 1 year: \$600

Options:

- Pay \$600 immediately and increase escrow to \$450/month
- Keep paying \$400/month and pay \$650/month for 12 months

Problem 2: Initial Escrow Funding at Closing

- At closing, you must prepay several months of escrow
- Typical: 2-4 months of taxes, 2-14 months of insurance (depending on insurance premium due date)
- This can be \$3,000-\$8,000 extra cash needed at closing

Best Practice: Ask for an escrow breakdown early in the process so you're not surprised by the cash needed at closing.

Problem 3: Waiving Escrow

- Some loans allow you to waive escrow and pay taxes/insurance directly
- Typically requires 20%+ down payment
- May cost 0.25% higher interest rate
- You're responsible for paying on time (failure can trigger default)

When waiving escrow makes sense:

- You're highly organized with finances
- You want to maximize credit card rewards (pay insurance and taxes on rewards card)
- You want to invest the escrow cushion amount elsewhere

When waiving escrow is risky:

- You struggle with budgeting
- You might forget to pay (tax liens and insurance lapses can trigger foreclosure)

- The rate increase costs more than any benefit you'd get

Section 4: Costs at Closing - The Bottom Line (Page 1, Bottom)

This section provides the high-level financial summary - the key numbers every borrower needs to know before the detailed breakdown on Page 2.

Estimated Closing Costs (101)

WHAT: The total of all fees, charges, and expenses you'll pay at or before closing to complete the mortgage transaction. This includes lender fees, third-party fees, prepaids, and escrow deposits.

On the Loan Estimate, you'll see:

- **Section labeled "Closing Costs"** showing a dollar amount (e.g., "\$11,174.40")
- This is the sum of sections A through H from Page 2
- Does NOT include your down payment
- Some of these costs may be paid by the seller or credited by the lender

WHY (201): Required under **12 CFR §1026.37(g)(1)**.

Purpose of Early Disclosure:

- **Prevents bait-and-switch:** Lender can't lowball closing costs to win your business, then dramatically increase them at closing (more on change limitations later)
- **Shopping tool:** Standardized format allows you to compare total costs between lenders
- **Cash planning:** Knowing costs early allows you to plan for cash needed at closing

Regulatory Protections:

Under TRID, closing costs are divided into categories based on how much they can change:

- 1. Zero tolerance items** (cannot increase at all):
 - Lender fees
 - Fees for services where you cannot shop (lender selects provider)
 - Transfer taxes

If these increase by even \$1, lender must cure the overcharge.
- 2. 10% cumulative tolerance items** (can increase up to 10% in aggregate):
 - Fees for services where you CAN shop but you chose lender's provider
 - Recording fees

If these increase by more than 10% total, lender must refund excess.
- 3. No tolerance restriction items** (can change without limit):

- Fees for services where you shop and select your own provider
- Prepaids (interest, insurance, taxes - vary based on circumstances)
- Initial escrow deposit

HOW (301):

What to Do Immediately:

1. Add up your cash needed:

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Down Payment: \$80,000
 + Closing Costs: \$11,174
 - Seller Credits: -\$5,000
 - Lender Credits: -\$2,000
 = Cash you bring to closing: \$84,174

1. Compare closing costs between lenders:

Example Comparison:

Fee Category	Lender A	Lender B	Lender C
Origination Charges	\$2,500	\$1,995	\$3,200
Title Services	\$2,200	\$2,200	\$2,500
Prepaids	\$3,500	\$3,500	\$3,500
Total Closing Costs	\$8,200	\$7,695	\$9,200

At first glance, Lender B looks best. But check the interest rates:

- Lender A: 6.75%
- Lender B: 7.125%
- Lender C: 6.625%

Now you need to calculate the break-even (addressed in detail later).

1. Identify negotiable vs. non-negotiable costs:

Generally Non-Negotiable:

- Government recording fees
- Transfer taxes
- Title insurance premium (regulated in many states)
- Actual third-party costs (appraisal, credit report, courier)

Often Negotiable:

- Origination charges
- Processing fees
- Underwriting fees
- Some lender-selected services

Best Practice: Ask each lender: "Which of these closing costs can be reduced or waived?"

Real-World Example:

A borrower was quoted \$1,895 in "Origination Charges" by Lender A and \$895 by Lender B for the same loan amount and rate. When questioned, Lender A agreed to match Lender B's \$895 fee. The borrower saved \$1,000 simply by asking.

Pro Tip: Some closing costs are avoidable:

- **Attorney fees:** Not required in all states; some are "settlement agent" states where title company handles closing
- **Lender's attorney fees:** Questionable charge; push back on this
- **Document preparation fees:** Often just administrative padding; negotiate down
- **Courier/wire fees:** Sometimes inflated; actual cost is \$25-50, not \$200

Estimated Cash to Close (101)

WHAT: The actual amount of money you need to bring to closing, accounting for your down payment, closing costs, and any credits or adjustments.

Formula:

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Estimated Cash to Close =

Down Payment
+ Closing Costs
+ Prepays and Escrow Deposits
- Earnest Money Deposit (already paid)
- Seller Credits
- Lender Credits
+ Adjustments (prorated taxes, etc.)

On the LE: You'll see two figures side by side:

- **Closing Costs Financed (Paid from your Loan Amount):** Usually \$0 for purchases
- **Estimated Cash to Close:** The check you're writing

WHY (201): Required under **12 CFR §1026.37(g)(3)**.

Purpose:

- **Clear bottom line:** No confusion about how much cash you need
- **Comparison across LEs:** See which lender requires less cash (though this might be misleading if one is rolling costs into the loan)
- **Planning tool:** Know early if you need to liquidate investments, wait for a bonus, etc.

Page 3 of the LE includes a detailed breakdown of how this number is calculated. We'll cover that in detail in the **Page 3** section.

HOW (301):

Critical Analysis Steps:

1. Verify the down payment amount:

- Does it match your understanding from the purchase contract?
- Are you putting down the minimum required, or more to avoid PMI?
- Is it exactly what you planned?

2. Account for earnest money:

- Earnest money (also called "good faith deposit") is paid when your offer is accepted
- Typical amount: 1-3% of purchase price
- This is credited at closing (reduces cash needed)
- Make sure it's reflected accurately in the Cash to Close calculation

Example:

□□Copy

\$400,000 purchase price

\$80,000 down payment (20%)

\$8,000 earnest money already paid

At closing, you need:

\$80,000 (down payment) - \$8,000 (earnest money) = \$72,000

Plus closing costs

If the LE shows you need the full \$80,000 down payment without crediting earnest money, there's an error.

3. Understand seller credits:

- Seller sometimes agrees to pay a portion of your closing costs
- Typical: 3-6% of purchase price
- Shown as: "Seller Credits - \$X"
- This directly reduces your cash needed

Negotiation insight: If you're cash-constrained, you might offer a higher purchase price in exchange for seller credits:

Scenario A (No seller credits):

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Purchase price: \$400,000

Down payment (20%): \$80,000

Loan amount: \$320,000

Closing costs: \$11,000

Cash needed: \$91,000

Scenario B (Seller credits):

□□Copy

Purchase price: \$410,000

Down payment (20%): \$82,000

Loan amount: \$328,000

Seller credits: -\$11,000 (toward closing costs)

Closing costs: \$11,000

Cash needed: \$82,000

You save \$9,000 in cash needed at closing. The trade-off: your loan is \$8,000 larger, costing you about \$50/month more over 30 years. If you're short on cash now but have good income, this can be a smart strategy.

Limitations: Loan programs restrict seller credits:

- **Conventional:** 3% (LTV > 90%), 6% (LTV 76-90%), 9% (LTV ≤ 75%)
- **FHA:** 6% of purchase price
- **VA:** 4% of purchase price for specific costs; no limit on seller-paid closing costs
- **USDA:** 6% of purchase price

4. Lender credits analysis:

- Lender credits are used to offset closing costs
- Usually offered in exchange for a higher interest rate
- Shown as: "Lender Credits - \$X"

Example:

□□Copy

No lender credit option:

Rate: 6.75%

Closing costs: \$8,000

Monthly payment (P&I): \$2,075

Lender credit option:

Rate: 7.125%

Lender credit: -\$3,200

Closing costs: \$4,800

Monthly payment (P&I): \$2,137

Monthly difference: \$62

Break-even: $\$3,200 \div \$62 = 51$ months (4.25 years)

If you'll keep the loan more than 4.25 years, the lower rate is better. Less than that, take the lender credit.

Pro Tip: Lender credits are especially valuable if:

- You're cash-constrained at closing
- You plan to sell or refinance within 3-5 years
- You're buying in a hot market and need to stretch your down payment across multiple offers

5. Double-check the math:

When you receive your LE, manually verify the Cash to Close calculation:

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Down Payment: \$80,000

+ Closing Costs (from line "Subtotal D"): \$11,174

- Deposit (earnest money): -\$8,000

- Seller Credits: -\$5,000

- Lender Credits: -\$0

= Estimated Cash to Close: \$78,174

If your manual calculation doesn't match the LE, there's an error. Contact the loan officer immediately.

Real-World Error Example:

A borrower's LE showed:

- Closing Costs: \$9,450
- Earnest Money: -\$10,000
- Cash to Close: \$79,450 (plus \$80,000 down payment = \$159,450 total)

The borrower noticed the earnest money credit wasn't subtracted from the total. The correct Cash to Close should have been \$149,450. This was a \$10,000 error that would have been disastrous if caught at the closing table when the buyer didn't have the extra cash.

Best Practice: Three days after receiving the LE, recalculate everything. Loan officers are human and errors happen. Catching errors early prevents closing delays or worse - failed closings.

Section 5: Page 2 - Closing Cost Details Deep Dive

Page 2 of the Loan Estimate is where all closing costs are itemized in detail. This is where you'll identify potential savings, spot unusual charges, and understand exactly where your money is going.

The page is divided into sections A through H, with Section J showing total costs and Section K showing who pays what.

Section A: Origination Charges (101)

WHAT: Fees charged by the lender for processing and underwriting your loan. This is how the lender gets paid for their work.

Common items you'll see:

- **Origination fee:** Percentage of loan amount (e.g., 1% origination = \$3,200 on \$320,000 loan)
- **Application fee:** Upfront charge when you apply
- **Underwriting fee:** Cost to evaluate and approve your loan
- **Processing fee:** Administrative work to move your file through the system
- **Discount points:** Prepaid interest to buy down your rate (1 point = 1% of loan amount)

WHY (201): Required under 12 CFR §1026.37(f)(1).

Regulatory Framework:

Origination charges are zero-tolerance items under TRID. This means:

- The amount disclosed on your initial LE cannot increase by even \$1
- If it does increase and it wasn't due to a changed circumstance, the lender must refund the overcharge
- If changed circumstances justify an increase, lender must issue a revised

LE within 3 business days

Legal "Changed Circumstances" under 12 CFR §1026.19(e)(3)(iv):

1. **Extraordinary event beyond anyone's control** (natural disaster, etc.)
2. **Information specific to the borrower changes** (e.g., credit score drops significantly)
3. **New information not available initially** (e.g., appraisal reveals major issue)
4. **Borrower-requested changes** (different loan program, larger loan amount)

Consumer Protection Purpose:

- Prevents lenders from advertising low rates but making up profit with excessive origination fees
- Eliminates "junk fees" that appeared at closing with no advance notice
- Ensures lender bears risk of underestimating costs

HOW (301):

Analyzing Origination Charges:

1. Compare fee structures across lenders:

Lender A structure:

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Origination Charge: 1% (\$3,200)

Total Section A: \$3,200

Lender B structure:

□□Copy

Application Fee: \$500

Processing Fee: \$695

Underwriting Fee: \$895

Administrative Fee: \$395

Total Section A: \$2,485

Lender C structure:

□□Copy

Origination Charge: 0%

Total Section A: \$0

(But check the rate - likely higher to compensate)

All three might be the same cost, just structured differently. What matters is:

- **Total of Section A**
- **Interest rate** (lower fees often mean higher rate)
- **Total cost over time** (we'll calculate this)

2. Understand discount points vs. origination charges:

This is often confusing because both are percentages of the loan amount.

Origination Charge:

- Lender's compensation
- Does NOT reduce your interest rate
- Pure cost to you

Discount Points:

- Prepaid interest
- DOES reduce your interest rate (typically 0.25% per point)
- Investment that pays off over time

Example Breakdown:

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Line 1: Origination Fee 1% (\$3,200) ← Lender compensation

Line 2: Discount Points 0.5% (\$1,600) ← Rate reduction from 7% to 6.75%

Total Section A: \$4,800

Calculate points break-even:

No points option:

- Rate: 7.0%
- Monthly payment: \$2,129
- Closing costs: \$8,000

With 0.5 points:

- Rate: 6.75%
- Monthly payment: \$2,075
- Closing costs: \$9,600

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Monthly savings: \$54

Points cost: \$1,600

Break-even: $\$1,600 \div \$54 = 30$ months (2.5 years)

Decision tree:

- Keeping loan > 2.5 years → Buy the points
- Keeping loan < 2.5 years → Don't buy points
- Uncertain → Don't buy points (flexibility has value)

Pro Tip: Points are tax-deductible in the year paid (for purchase loans) under IRS rules, while origination charges generally are not. For refinances, points are deductible over the life of the loan.

3. Negotiation strategies:

Which fees to push back on:

- **Application fee:** Often waived in competitive markets
- **Processing fee:** Administrative padding; negotiate down or eliminate
- **Rate lock fee:** Should be free for standard lock periods (30-45 days)
- **Any "junk fees":** Document prep fee, administration fee, etc.

What to say: "I have another offer with lower origination charges. Can you match or beat [specific amount]?"

Real-World Success: A borrower was quoted:

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Origination: 1% (\$4,000)

Processing: \$695
Underwriting: \$795
Total: \$5,490

Borrower pushed back: "I have an offer at 0.5% origination and \$500 underwriting, no other fees - \$2,500 total. Can you compete?"

Revised offer:

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Origination: 0.5% (\$2,000)
Underwriting: \$595
Total: \$2,595

Savings: \$2,895 for a 10-minute conversation.

4. Red flags in Section A:

- **Multiple fees for the same thing:** "Processing," "Administrative," and "Document Prep" fees are often the same service with different names
- **Rate lock extension fee on initial LE:** You shouldn't be charged for a standard lock period
- **Origination charge over 1.5%:** Unless you have significant risk factors (low credit score, high LTV), > 1.5% is high
- **"Points" without rate reduction:** If discount points are charged but rate isn't competitive, you're being overcharged

Best Practice: Create a spreadsheet comparing Section A from each lender:

Fee Type	Lender A	Lender B	Lender C
Base Origination	\$3,200	\$1,995	\$0
Processing	\$0	\$695	\$495
Underwriting	\$0	\$795	\$695
Points (voluntary)	\$0	\$0	\$1,600
Section A Total	\$3,200	\$3,485	\$2,790

Then factor in interest rates and calculate total costs over your expected holding period (next section).

Section B: Services You Cannot Shop For (101)

WHAT: Fees for third-party services that the lender requires and selects the provider for. You have no choice in who provides these services.

Common items:

- **Appraisal fee:** Professional evaluation of property value (typically \$400-\$800)
- **Credit report fee:** Cost to pull your credit from all three bureaus (typically \$25-\$75)

- **Flood certification fee:** Determines if property is in flood zone (typically \$10-\$25)
- **Tax service fee:** Company monitors that property taxes are paid (typically \$50-\$95)
- **Title - Lender's title insurance:** Protects lender's interest (price varies by loan amount and state)

WHY (201): Required under **12 CFR §1026.37(f)(2)**.

Why separate from Section A?

The critical distinction is **tolerance category**:

Section B = Zero Tolerance (same as Section A)

- Cannot increase at all unless changed circumstances occur
- Lender chose the provider, so lender bears the risk of cost increases
- If it increases without valid changed circumstances, lender must cure

Regulatory Logic: Since you cannot shop for these services, you need maximum protection against cost increases. The lender controls the vendor selection, so the lender should bear the risk.

Consumer Protection Mechanism:

- Prevents lenders from partnering with overpriced service providers and passing costs to you
- Incentivizes lenders to negotiate good rates with vendors
- If lender underestimates costs, lender pays the difference

HOW (301):

1. Appraisal fee analysis:

Typical costs by property type:

- Single-family home (SFH): \$400-\$650
- Condo: \$400-\$550
- Multi-family (2-4 units): \$600-\$1,200
- Rural property: \$600-\$1,000+
- High-value property (\$1M+): \$800-\$1,500

Red flag: Appraisal fee significantly above these ranges without explanation

Circumstances that justify higher appraisal costs:

- Large acreage
- Unique property (geodesic dome, log cabin, etc.)
- Few comparable sales in area
- Rush fee for expedited turnaround

Best Practice: Ask: "Which appraisal management company (AMC) are you using?" Then research whether that AMC has reputation for quality.

Quality matters: A bad appraisal can kill your deal or force you to bring more cash to closing. A \$100 difference in appraisal fee is meaningless if it's the

difference between a quality appraisal and a sloppy one.

2. Credit report fee:

What's reasonable: \$25-\$75 for tri-merge report (all three bureaus)

Red flag: >\$100 for credit report

Pro Tip: If you're applying to multiple lenders within a 14-45 day period, subsequent credit pulls should be cheaper because lenders can often share the same report (with permission). If Lender B charges full price for a report when Lender A pulled credit 5 days ago, ask if they can use the existing report.

3. Tax service fee:

WHAT it really is: A company (like CoreLogic) monitors whether you're paying property taxes. If you fall behind, they notify the lender so the lender can protect their interest.

Typical cost: \$50-\$95

Controversy: Some consumer advocates argue this is a unnecessary fee because:

- Most borrowers have taxes escrowed (lender pays them directly, so monitoring is pointless)
- For non-escrowed loans, lenders can check tax status directly with the county

Reality: It's a standard fee that's difficult to avoid. Not worth fighting over \$50-\$75.

4. Flood certification fee:

WHAT it determines: Whether property is in FEMA-designated flood zone requiring flood insurance.

Cost: \$10-\$25 typically

Why it matters: If property is in a flood zone:

- You **MUST** purchase flood insurance (federal requirement for federally-backed loans)
- Flood insurance costs \$400-\$2,000+ annually
- This dramatically affects your monthly payment

Example impact:

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Property in flood zone:

Base payment: \$2,200/month

+ Flood insurance: \$150/month

Total: \$2,350/month

Best Practice: Before making an offer, check FEMA flood maps

(<https://msc.fema.gov/portal/home>). If property is in high-risk zone, factor flood insurance into your affordability calculation.

5. Lender's title insurance:

WHAT: Insurance policy protecting the lender's interest in the property. If title issues arise (prior liens, ownership disputes, etc.), this policy protects the lender.

Cost: Varies significantly by state and loan amount. Example range: \$500-\$2,500.

Why it's in Section B: The lender selects the title company and requires this policy, so it's zero-tolerance.

Don't confuse with owner's title insurance (Section C), which protects you and which you CAN shop for.

Pro Tip: Title insurance premiums are often regulated by state. In states like Texas, Florida, and New Mexico, rates are set by the state and identical across providers. In other states, rates are negotiable.

6. Changed circumstance scenarios for Section B:

Even though Section B is zero-tolerance, costs can increase if there's a valid changed circumstance.

Example:

Initial LE: Appraisal fee \$500 (standard SFH appraisal)

Changed circumstance: Appraisal reveals property is on 10 acres with outbuildings, requiring specialized appraisal.

Revised LE: Appraisal fee \$1,200

This is allowed if:

1. Lender documents that initial information was incomplete
2. Lender issues revised LE within 3 business days of discovering the issue
3. Borrower receives revised LE at least 4 business days before closing

Your right: Request documentation of changed circumstances. "Show me what new information justified this increase."

Real-World Protection Example:

A borrower's initial LE showed appraisal fee of \$500. At closing, the fee was \$750 with no explanation or revised LE. The borrower objected, citing TRID zero-tolerance rules. The lender was forced to refund \$250.

Section C: Services You Can Shop For (101)

WHAT: Fees for third-party services that the lender requires, but for which you can select your own provider.

Common items:

- **Title - Owner's title insurance:** Protects your ownership interest
- **Title - Settlement/Closing fee:** Closing agent's fee for conducting closing
- **Title - Title search:** Examining public records to verify ownership
- **Title - Lien search:** Checking for outstanding liens
- **Survey fee:** Property boundary survey (not required in all states)

- **Home inspection:** Professional inspection of home condition (optional but recommended)

WHY (201): Required under **12 CFR §1026.37(f)(3)**.

Tolerance category: 10% cumulative

This is the most complex tolerance category:

Scenario 1: You use lender's recommended provider

- Fees in Section C can increase up to 10% in total
- If they increase more than 10% cumulatively, lender must cure the excess
- This 10% tolerance provides some buffer for underestimation

Scenario 2: You shop and select your own provider

- Fees have NO tolerance restriction
- Can increase without limit
- You bear the risk

Regulatory Logic:

- Encourages you to shop (no tolerance restriction if you select your own provider)
- Protects you if you use lender's recommendation (10% tolerance)
- Lender bears some risk when recommending providers

HOW (301):

Shopping Strategy:

Step 1: Request lender's provider list

Lender must give you a written list of service providers (under **12 CFR § 1026.19(e)(1)(vi)(C)**). This is called the "Affiliated Business Arrangement Disclosure" if the lender has ownership in the provider.

Step 2: Get competing quotes

For title services, call at least 2-3 title companies:

- "I'm closing on a \$320,000 loan for a \$400,000 purchase in [city]. What would you charge for owner's title insurance, lender's title insurance, search, and closing fee?"

Step 3: Compare total costs, not line items

Example:

Lender's recommended title company:

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Owner's title insurance: \$1,200

Settlement fee: \$450

Title search: \$200

Lien search: \$75

Total: \$1,925

Title company you found:

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Owner's title insurance: \$1,100

Settlement fee: \$600

Title search: \$250

Lien search: \$0 (included)

Total: \$1,950

Lender's recommendation is \$25 cheaper. The line-item breakdown differs, but total cost is what matters.

Step 4: Understand the trade-offs

Advantages of using lender's recommended provider:

- Smoother communication (lender and title company work together regularly)
- Potential for faster closing
- 10% tolerance protection

Advantages of shopping:

- Might save money
- Choose provider based on reviews/recommendations
- Freedom to select provider you've worked with before

Real-World Decision:

A borrower found a title company charging \$300 less than lender's recommendation. However, reviews revealed this company was slow and made frequent errors. The borrower decided the \$300 savings wasn't worth the risk of closing delays or title mistakes. Smart decision.

Pro Tip: Ask your real estate agent: "Which title companies in this area are both competitively priced AND reliable?" Agents close dozens of transactions and know which companies cause problems.

2. Owner's title insurance deep dive:

WHAT it protects against:

- Forged signatures on prior deeds
- Unknown heirs claiming ownership
- Errors in public records
- Undisclosed easements or restrictions
- Fraudulent sales

Cost: Based on purchase price (or loan amount, varies by state). Often \$1,000-\$3,000.

One-time premium: Paid at closing, covers you forever (as long as you own the property).

Is it worth it?

Arguments for:

- Home is likely your largest asset
- Title defects can render property worthless

- Legal defense costs can exceed \$50,000 if title is challenged
- Lender requires it (lender's policy), so you're already paying for title search

Arguments against:

- Title searches are thorough; defects are rare
- Some states (like Iowa) use attorney opinions instead of title insurance

Pro Tip: In many states, if the same title company issued a policy on the property within the last 10 years, you can get a "reissue rate" or "refinance rate" that's 30-70% cheaper. Ask about this.

3. Survey fee:

WHAT: Licensed surveyor marks property boundaries and creates a drawing (plat).

Cost: \$300-\$800 typically

When required:

- Many lenders require surveys for purchases
- Refinances usually accept existing survey if recent
- Not required in some states (lender accepts title company's survey affidavit)

What it reveals:

- Exact property lines
- Encroachments (neighbor's fence is 2 feet onto your property)
- Easements (utility company has right to access part of your land)
- Building setback compliance

Can you skip it?

Sometimes you can provide a recent survey (within 5-10 years) and the lender will accept it, saving the \$500+ fee. Ask: "Do you accept existing surveys? I can contact the seller to see if they have one."

Red flag scenario:

Survey reveals neighbor's garage is 3 feet onto your property. This is a title defect that must be resolved before closing. This could involve:

- Neighbor moving the garage (expensive, contentious)
- Negotiating an easement
- Renegotiating purchase price
- Walking away from the deal

This is exactly why surveys are valuable - discovering this after closing would be a nightmare.

4. Home inspection:

Cost: \$300-\$600 for typical home; more for large homes or additional specialized inspections (radon, mold, sewer line, etc.)

Not technically a closing cost because it's not required by the lender and is

usually paid before closing.

Best Practice: ALWAYS get a home inspection (unless buying new construction with builder warranty, and even then consider it).

What it reveals:

- Major system issues (HVAC, electrical, plumbing)
- Roof condition and estimated remaining life
- Foundation cracks or settling
- Water damage or moisture issues
- Safety hazards

Negotiating power:

After inspection, you can typically:

1. Request seller make repairs
2. Request seller credit for repair costs
3. Renegotiate purchase price
4. Walk away (if inspection contingency is in your contract)

Real-World Example:

Inspection revealed:

- Roof needs replacement (\$12,000)
- HVAC system is 22 years old and barely functional (\$6,000 to replace)
- Electrical panel is outdated and needs upgrade (\$2,500)

Total: \$20,500 in issues

Buyer negotiated \$15,000 price reduction. The \$500 inspection fee saved them \$15,000.

5. Understanding the 10% tolerance calculation:

Example:

Initial LE Section C (using lender's providers):

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Owner's title insurance: \$1,200

Settlement fee: \$450

Title search: \$200

Total Section C: \$1,850

10% tolerance threshold: \$185

Maximum total at closing: \$2,035

At closing, actual costs:

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Owner's title insurance: \$1,200 (no change)

Settlement fee: \$525 (+\$75)

Title search: \$325 (+\$125)

Total: \$2,050

Increase: \$200 (exceeds \$185 tolerance by \$15)

Result: Lender must refund \$15 or provide credit.

Important: The 10% is calculated on the **total of Section C**, not individual line items. One item could increase by 50% and another decrease, as long as the net increase is $\leq 10\%$.

Section D: Total Loan Costs (101)

WHAT: Sum of Sections A, B, and C. This is your total lender-related and required third-party costs.

Formula:

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Section D = Section A + Section B + Section C

This does NOT include:

- Prepaids (Section F)
- Initial escrow deposits (Section G)
- Other costs (Section H)

WHY (201): Required under **12 CFR §1026.37(f)(4)**.

This subtotal allows you to compare "apples to apples" across lenders when comparing the true cost to obtain the loan itself.

HOW (301):

Use Section D as your primary lender comparison metric:

	Lender A	Lender B	Lender C
Section A	\$3,200	\$2,485	\$3,750
Section B	\$1,450	\$1,575	\$1,420
Section C	\$1,850	\$1,900	\$1,775
Section D	\$6,500	\$5,960	\$6,945
Interest Rate	6.75%	7.00%	6.625%

Now you can calculate which is the best deal based on how long you'll keep the loan (detailed in comparison section later).

Pro Tip: Section D is what you should focus negotiations on. "Your total loan costs are \$1,000 higher than another lender. Can you match their \$5,960 total?"

Section E: Taxes and Other Government Fees (101)

WHAT: Fees charged by government entities to record your transaction and transfer ownership.

Common items:

- **Recording fees:** County charges to record the deed and mortgage (typically \$50-\$200 total)
- **Transfer taxes:** State/county/city taxes on the sale (varies dramatically by

location; \$0 in some states, 2%+ in others)

Example breakdown:

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Recording Fees:

Deed: \$50

Mortgage: \$75

Transfer Taxes:

State transfer tax: \$1,000

County transfer tax: \$400

Total Section E: \$1,525

WHY (201): Required under **12 CFR §1026.37(f)(2)** and **(g)(1)**.

Tolerance category: 10% cumulative (grouped with Section C when calculating tolerance)

However: Transfer taxes specifically are zero-tolerance under **12 CFR § 1026.19(e)(3)(ii)** because they're based on public record and should be calculated precisely.

HOW (301):

1. Transfer tax varies wildly by location:

Examples:

State/Location Transfer Tax Rate

Alabama \$0.50 per \$500

California \$1.10 per \$1,000

New York \$2-\$4 per \$500 (depending on location)

Pennsylvania 2% total (1% state, 1% local)

Washington 1.28%-3.0% (graduated by price)

Impact on \$400,000 purchase:

- Alabama: \$400
- California: \$440
- New York: \$3,200+
- Pennsylvania: \$8,000
- Washington: \$5,120+

This can be the difference between an affordable transaction and unaffordable one in high-tax jurisdictions.

2. Who pays transfer taxes?

Varies by local custom:

- Some areas: Seller pays 100%
- Some areas: Split 50/50

- Some areas: Negotiated in contract

Example: In Pennsylvania, it's customary for buyer and seller to split the 2% transfer tax. But "customary" doesn't mean "required." In your offer, you could propose seller pays 100%.

If you're in a buyer's market, this is negotiable. If you're in a seller's market, you'll likely pay whatever is customary.

3. Recording fees are usually minimal:

Most states charge \$50-\$100 to record a deed and \$50-\$100 to record a mortgage. This is not worth negotiating.

However: Some counties charge per page. If your deed or mortgage is unusually long (many pages), this could increase costs by \$50-\$100. Not a red flag, just an explanation if you see higher recording fees.

4. Red flag check:

Compare Section E across multiple LEs from different lenders for the same property:

If one lender shows transfer taxes of \$1,000 and another shows \$2,000 for the same property, someone made an error. Transfer taxes are calculated from public tax rate schedules and should be identical (unless lenders are assuming different allocations between buyer and seller).

Best Practice: Look up your local transfer tax rates online (search "[Your County] real estate transfer tax rate") and verify the lender's calculation yourself.

Section F: Prepays (101)

WHAT: Costs you pay upfront at closing to cover expenses that will come due shortly after closing. These aren't fees; they're advance payments of your own future obligations.

Common items:

- **Homeowners insurance premium:** First year's premium paid in advance
- **Mortgage insurance premium:** First month or upfront premium
- **Prepaid interest:** Interest from closing date to end of month
- **Property taxes:** Months of property taxes prepaid

WHY (201): Required under **12 CFR §1026.37(g)(2)**.

Tolerance category: No tolerance restriction

Prepays can change without limit because they're based on:

- External factors (insurance company rates, property tax assessments)
- Variable factors (exact closing date affects prepaid interest)
- Your choices (insurance coverage level)

The amounts aren't fees paid to lender or third parties, so consumer protection is different. You're not being overcharged; you're prepaying your own

expenses.

HOW (301):

1. Homeowners insurance premium:

WHAT you're prepaying: First year's insurance premium (months 1-12).

Typical cost: \$800-\$2,500 annually depending on:

- Home value and replacement cost
- Location (coastal areas, wildfire zones, tornado alley = higher)
- Coverage level (actual cash value vs. replacement cost)
- Deductible level (\$500 vs. \$2,500 deductible)

Critical timing issue:

Insurance must be in effect as of closing day. Process:

1. Get insurance quotes (before or right after LE)
2. Select insurer and bind coverage
3. Insurance company sends declaration page to lender
4. You pay first year's premium at closing

Best Practice: Shop for insurance as soon as your offer is accepted, even before receiving LE. Getting insurance bound can take 1-2 weeks.

Shopping saves money:

Example: Same home, three quotes:

- Company A: \$1,850/year
- Company B: \$1,450/year
- Company C: \$1,180/year

Savings by shopping: \$670/year - and this savings continues every year you own the home.

Pro Tip: Insurance premiums in Section F must match your actual policy. If you shopped and found insurance for \$1,200/year but the LE shows \$1,800, tell your loan officer: "Update Section F to reflect my actual insurance premium of \$1,200."

2. Mortgage insurance premium:

Structure varies by loan type:

Conventional loans (PMI):

- Usually monthly premium added to payment
- Section F shows 1-2 months prepaid
- Typical cost: 0.5%-1.5% of loan amount annually ($\div 12$ for monthly)

Example: \$320,000 loan, 0.85% PMI rate = \$2,720/year = \$227/month

FHA loans (MIP):

- **Upfront MIP:** 1.75% of loan amount (can be financed or paid at closing)
- **Annual MIP:** 0.45%-1.05% depending on LTV and loan term
- Section F shows upfront MIP if paying at closing (usually it's financed)

Example: \$320,000 FHA loan

- Upfront MIP: \$5,600 (usually financed, so \$325,600 actual loan amount)
- Annual MIP: 0.85% = \$2,720/year = \$227/month

VA loans: No mortgage insurance (funding fee instead, shown in Section H)

USDA loans:

- Upfront guarantee fee: 1% (usually financed)
- Annual fee: 0.35%

Critical understanding for conventional loans:

PMI drops off at 78% LTV based on original amortization schedule (automatically) or at 80% LTV if you request it (requires appraisal). This is codified in the **Homeowners Protection Act (HPA)** of 1998.

For \$400,000 home with \$320,000 loan:

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80% of original value = \$312,000

Starting balance: \$320,000

Need to pay down: \$8,000 in principal

At 6.75% rate over 30 years:

- After 47 months, balance = \$311,800 (can request removal)
- After 60 months, balance = \$307,800 (automatic removal)

Saving: \$227/month once PMI drops off

3. Prepaid interest:

WHAT: Interest that accrues from closing date through the end of that month.

Why it exists: Your first regular payment is due on the 1st of the month after the first full month.

Example:

- Closing date: March 15
- First payment due: May 1 (covers April interest)
- Gap: March 15-31 (17 days) has no payment covering it
- Solution: Prepay March 15-31 interest at closing

Calculation:

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Formula: $(\text{Loan Amount} \times \text{Interest Rate} \div 365) \times \text{Days from closing to month end}$

\$320,000 loan at 6.75% closing March 15:

$(\$320,000 \times 0.0675 \div 365) \times 17 \text{ days} = \$1,007.67$ prepaid interest

Pro Tip: Close at the end of the month to minimize prepaid interest.

Example comparison:

Closing Date	Days Prepaid	Prepaid Interest
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March 15	17	\$1,008
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March 29 3 \$178

Savings: \$830 by closing 2 weeks later

Trade-off: Your first payment is due sooner if you close earlier in the month.

- Close March 15 → First payment May 1 (47 days away)
- Close March 29 → First payment May 1 (33 days away)

If you need maximum time before first payment (cash flow management), close early in month. If you want to minimize cash at closing, close late in month.

Red flag: If prepaid interest seems excessively high (like >\$2,000), verify:

- The daily interest rate calculation is correct
- The closing date the lender used matches your actual closing date
- It's not including a full month of interest (mistake)

4. Property taxes prepaid:

This is the most confusing prepaid item.

WHAT: Months of property taxes collected at closing, depending on:

- When you close
- When property taxes are due in your area
- Whether seller has already paid taxes

Example scenario:

Property taxes: \$6,000/year (\$500/month) Property tax due dates: July 1 and January 1 (pays 6 months in advance)

Scenario A: Close March 1

- Seller paid taxes on January 1 covering Jan-June
- You're buying March 1, so you owe seller for March-June (4 months)
- At closing: You reimburse seller \$2,000 (4 months × \$500)
- This appears as a debit to you in Section H, not Section F

Scenario B: Close August 1

- Next tax payment due January 1, covering July-December
- Lender wants to ensure taxes are paid, so they collect in advance
- At closing: You prepay August-December (5 months × \$500 = \$2,500)
- This appears in Section F as prepaid property taxes

Why this is confusing: Whether you prepay taxes, reimburse the seller, or pay nothing at closing depends entirely on timing relative to local tax due dates.

Best Practice: Ask lender: "Walk me through the property tax calculation. What are the tax due dates, and what am I prepaying vs. reimbursing the seller?"

Pro Tip: If you're buying a newly built home, property taxes may currently be based on the vacant land value. After closing, they'll be reassessed based on the improved property value (with house), often increasing by 3-10x. Make sure the LE reflects the post-reassessment amount, not the current low

amount.

Section G: Initial Escrow Payment at Closing (101)

WHAT: Money deposited into your escrow account at closing to ensure sufficient funds are available when the first tax and insurance bills are due.

This is in addition to the prepaid amounts in Section F. Section F pays for immediate bills; Section G creates a reserve fund in your escrow account.

Common items:

- **Homeowners insurance:** X months deposited to escrow
- **Mortgage insurance:** X months deposited to escrow
- **Property tax:** X months deposited to escrow
- **Aggregate Adjustment:** Cushion allowed under RESPA (up to 2 months of escrow payments)

WHY (201): Required under **12 CFR §1026.37(g)(3).**

Regulatory framework:

RESPA Section 10 (12 USC §2609) limits escrow cushions:

- Lender may require cushion up to 1/6 of total annual escrow payments (equivalent to 2 months)
- Lender cannot require more than 2 months cushion unless state law permits
- Purpose: Prevents lenders from holding excessive borrower funds interest-free

HOW (301):

Understanding the escrow "aggregate adjustment":

This line item confuses many borrowers. Here's what it is:

Example calculation:

Annual escrowed costs:

- Insurance: \$1,200/year
- Property taxes: \$6,000/year
- Total: \$7,200/year

Monthly escrow payment going forward: \$600

Maximum cushion allowed: $\$7,200 \div 6 = \$1,200$ (2 months)

At closing, lender wants to ensure escrow account never goes negative. They calculate:

1. When is the next insurance bill due?
2. When is the next tax bill due?
3. How much will accumulate in escrow between now and those due dates?
4. Is there a gap?

Detailed example:

Closing date: March 1 Monthly escrow payment: \$600 (\$100 for insurance,

\$500 for taxes)

Insurance due: January 1 annually (\$1,200) Property taxes due: July 1 and January 1 semi-annually (\$3,000 each)

March through June (4 months):

- Escrow deposits: $4 \times \$600 = \$2,400$
- July 1 tax bill due: \$3,000
- Shortfall: \$600

Solution: Collect additional \$600 at closing (shown as 1 month property tax in Section G)

Plus: 2-month cushion of \$1,200

Total Section G: \$1,800

This ensures the escrow account has:

- Enough to pay July 1 tax bill
- Plus 2-month cushion for fluctuations

Why this matters: Section G can be \$2,000-\$5,000+ depending on:

- Annual tax and insurance costs
- Timing of closing relative to bill due dates
- Lender's escrow calculation methodology

Best Practice Check:

Verify Section G is reasonable:

1. Add up annual insurance + taxes + MI (if applicable)
2. Divide by 6